AR
2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

2 July 2026 · the qualitative

Unity Software

$30.19

NYSE : U · Mature-Company DCF

$13.07B mkt cap · 433M sh · $2.06B cash, $2.24B net debt · ~$2.06B cash vs ~$2.24B convertibles (net debt ~$0.18B); 2026 Notes mature Nov-2026; ~433M shares, up ~56% over 5 years on SBC; Revenue $1.85B FY25 (+3%); GAAP op margin still -25.9% (loss); FCF +$0.4B (~22%) but ex-SBC FCF far thinner; adj EBITDA ~27%; ~$27, down ~58% YTD (52-wk ~$15-$52); IPO'd Sep-2020 at $52 — a GAAP-loss turnaround, the most speculative name in this batch

THE CENTRAL QUESTION

Does Vector turn Unity into a durable, profitable ad-and-engine platform — or do engine-share erosion, SBC dilution and the convertibles keep it loss-making?

Unity trades at ~$11.8B (~$27, down ~58% YTD) — ~30x FCF on $1.85B revenue, but the FCF flatters a still-GAAP-loss business: shares are up ~56% in five years on stock comp and ~$2.2B convertibles (Nov-2026) sit against ~$2.15B cash. This is a turnaround bet on the Vector AI ad engine (Grow +24%, Vector +80%, ~$1B ARR targeted), not an FCF compounder. The base models a lower ex-SBC FCF margin AND a growing share count, so dilution is the core mechanism. Across a wide distribution the weighted finding is -56.5% — the modal case is still well below spot.

PROBABILITY-WEIGHTED EXPECTED VALUE

$11.86 expected fair value today

-60.7% vs spot $30.19

FORWARD COMPOUNDED VALUE

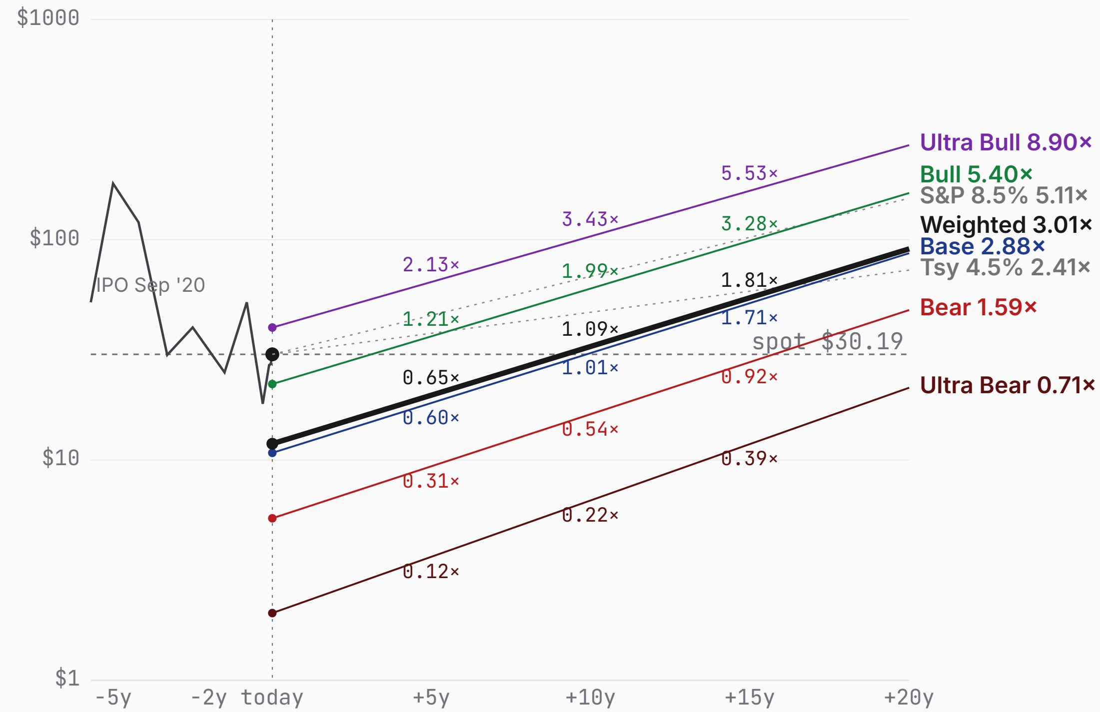
+5y	+10y	+15y	+20y
$19.71	$32.79	$54.58	$90.93
0.65× spot	1.09× spot	1.81× spot	3.01× spot

WEIGHTING RATIONALE

Ultra Bear 18% Vector stalls; engine bleeds; dilution wins; ~$2.02 (-93%).
Bear 28% Modest growth; FCF thin; GAAP barely turns; ~$5.44 (-80%).
Base 30% Vector scales; GAAP turns; dilution persists; ~$10.78 (-60%).
Bull 16% Vector beyond gaming; margins inflect; ~$22.13 (-19%).
Ultra Bull 8% Vector platform; profitable compounder; ~$39.96 (+47%).

Bull (16%) + Ultra Bull (8%) together contribute $6.74 — 57% of the $11.86 expected value despite 24% combined probability. Today's spot ($30.19) sits 155% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	BEAR	BASE	BULL	ULTRA BULL
$2.02	$5.44	$10.78	$22.13	$39.96
-93.3% vs spot	-82.0% vs spot	-64.3% vs spot	-26.7% vs spot	+32.4% vs spot
CAGR +1.3% WACC 12.5%	CAGR +6.6% WACC 11.5%	CAGR +11.6% WACC 11.0%	CAGR +16.9% WACC 10.5%	CAGR +22.9% WACC 10.0%
CAGR +1.3% Prob 18%	CAGR +6.6% Prob 28%	CAGR +11.6% Prob 30%	CAGR +16.9% Prob 16%	CAGR +22.9% Prob 8%
Vector stalls; engine bleeds; dilution wins.	Modest growth; FCF thin; GAAP late.	Vector scales; GAAP turns; still dilutive.	Vector beyond gaming; margins inflect.	Vector platform; profitable compounder.

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ALAMEDA RESEARCH 2: ELECTRIC BOOGALOO

LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

Unity Software scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 18% Bear 28% Base 30% Bull 16% Ultra Bull 8% · Weighted expected $11.86 (-60.7% vs spot)

ULTRA BEAR $2.02

-93.3% vs spot

Probability 18%

Vector stalls; engine bleeds; dilution wins.

WHY 18%

The genuine bear: GAAP losses persist, the ironSource sunset forced a $279M charge, soft gaming demand pressures Grow, and SBC has diluted holders ~56% in five years. 18% on Vector failing and dilution dominating.

WHAT HAPPENS

Vector's +80% comp lapses and ad share reverts toward AppLovin; Create keeps losing developers to Godot/Unreal post-runtime-fee, revenue barely grows, and GAAP stays in the red. Ex-SBC free cash flow stays near 2-8% while the share count keeps climbing past 520M on stock comp.

A barely-growing, loss-making engine whose cash flow is consumed by dilution earns a distressed ~10x terminal multiple net of the convertibles → DCF ~$2.02 (-93%). The ~$2.2B notes maturing into ~$2.15B cash leave no cushion if FCF doesn't inflect.

BEAR $5.44

-82.0% vs spot

Probability 28%

Modest growth; FCF thin; GAAP late.

WHY 28%

Vector helps but doesn't compound, engine-share leakage caps Create, and dilution keeps per-share cash flow thin. 28% as the plausible 'turns but doesn't compound' path given the GAAP losses and competition.

WHAT HAPPENS

Vector grows but decelerates as easy comps lapse and Create stabilizes only slowly; revenue compounds mid-single-digit, GAAP operating margin crosses zero late, and ex-SBC FCF margin grinds to ~12% against a still-rising ~500M share count.

DCF ~$5.44 (-80%) — a low-growth software business whose free cash flow is split with dilutive stock comp, net of the convertibles, is worth a fraction of today's price; the market is pricing more of the turnaround than this path delivers.

BASE $10.78

-64.3% vs spot

Probability 30%

Vector scales; GAAP turns; still dilutive.

WHY 30%

Requires Vector to sustain ad-share gains and GAAP to inflect while dilution continues - consistent with the +80% Vector growth and the ~$1B ARR target, but not a full re-rate. 30% as the central, still-negative outcome.

WHAT HAPPENS

The modal path: Vector hits ~$1B ARR and keeps gaining mobile-ad share, Grow compounds low-double-digit, Create stabilizes, and GAAP operating margin turns positive and climbs toward ~15%. But ex-SBC FCF margin only reaches ~16% and the share count still drifts up toward ~485M, so per-share cash flow lags the headline.

DCF ~$10.78 (-60%) — even with Vector working and GAAP turning, a ~14x terminal multiple on diluted, ex-SBC free cash flow net of the ~$2.2B convertibles lands well below spot. The modal case still says the price embeds more than the fundamentals underwrite.

BULL $22.13

-26.7% vs spot

Probability 16%

Vector beyond gaming; margins inflect.

WHY 16%

Vector durably wins ad share beyond gaming while cost discipline lifts margins and curbs dilution - the turnaround landing. ~16% weight on Vector becoming a real platform.

WHAT HAPPENS

Vector sustains its ad-share gains and extends beyond mobile gaming into new verticals, adj EBITDA margin keeps expanding past 27%, ex-SBC FCF margin inflects toward ~22%, and SBC moderates so the share count nearly stabilizes near ~470M. Revenue compounds high-teens.

DCF ~$22.13 (-19%) - if Vector becomes a durable cross-vertical ad platform and dilution slows, the de-rated entry closes most of the gap to spot; this is the core of the bull.

ULTRA BULL $39.96

+32.4% vs spot

Probability 8%

Vector platform; profitable compounder.

WHY 8%

Everything works - Vector platformizes AND Create recovers AND GAAP profitability AND dilution stops. ~8%, the long-duration tail on a name with a very wide distribution.

WHAT HAPPENS

The full second act: Vector becomes the default cross-vertical AI ad engine, Create re-accelerates on AI tooling, Unity turns durably GAAP-profitable, ex-SBC FCF margin reaches high-20s%, and dilution falls away so per-share cash flow finally compounds. Revenue compounds ~20%+.

DCF ~$39.96 (+47%) - the only path that prices Unity as a profitable platform compounder rather than a dilutive turnaround; ~8% probability, the asymmetric upside the depressed, speculative entry is buying.

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

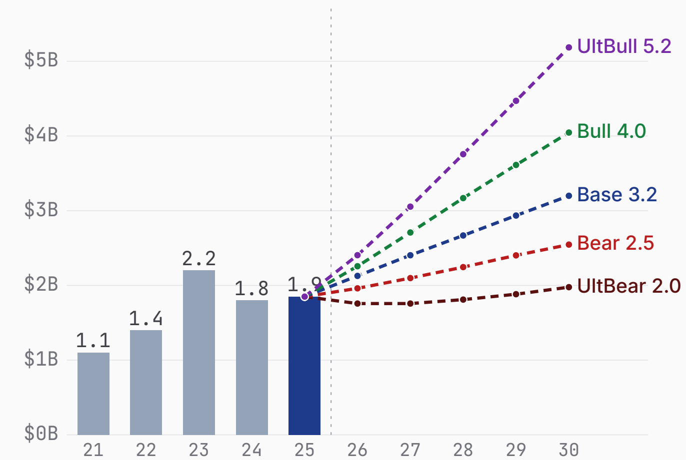
2 July 2026 · the snapshot

Unity Software business snapshot

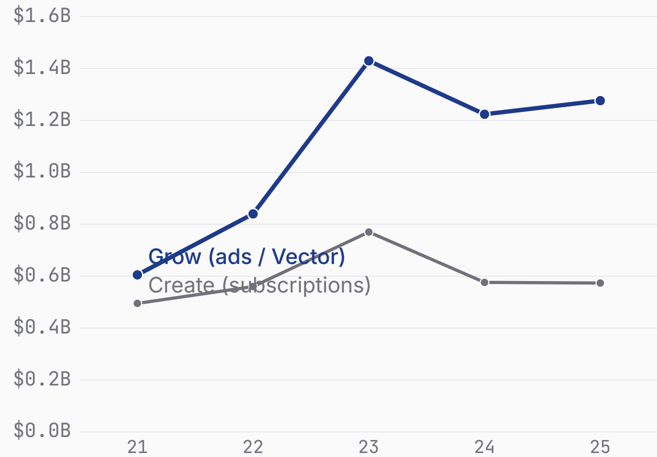
Bear $5.44 Base $10.78 Bull $22.13

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end Dec · Q1 FY2026 (May-2026) results

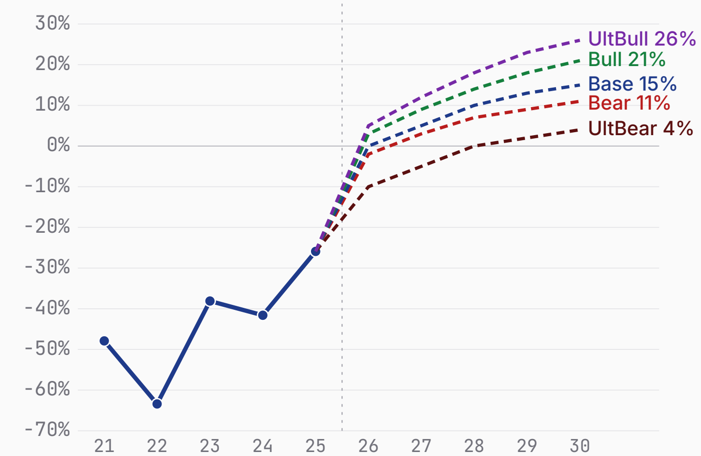
Revenue ($B) — history + scenarios to FY30



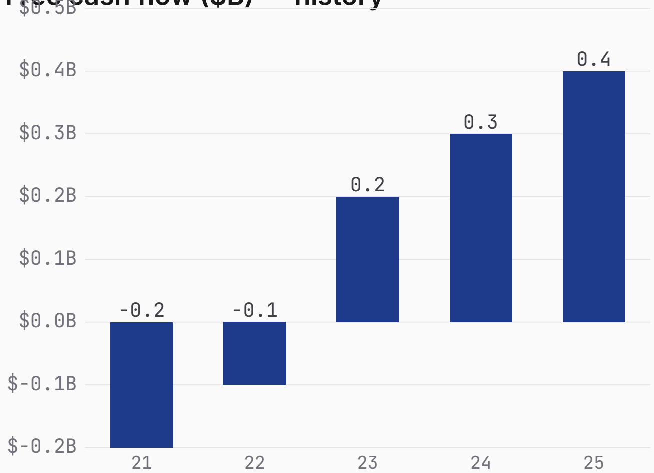
Revenue by segment ($B)



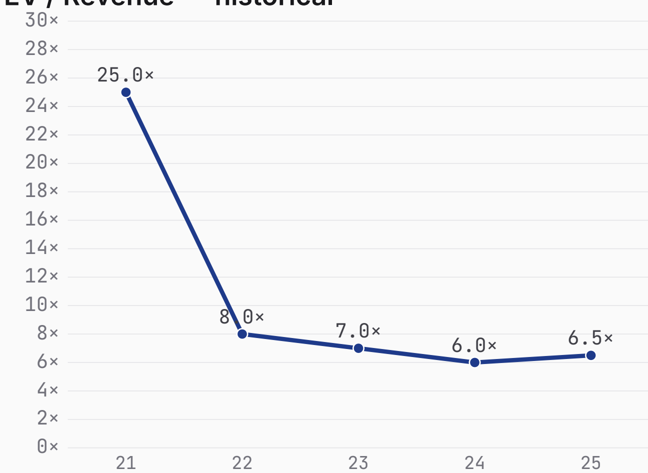
Op margin — history + scenarios



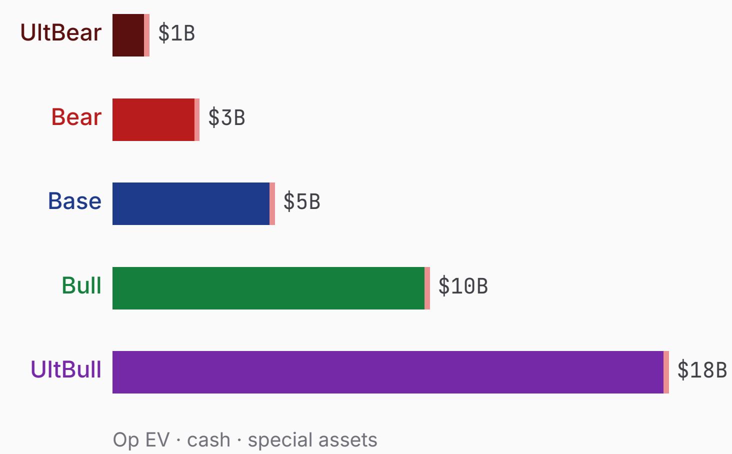
Free cash flow ($B) — history



EV / Revenue — historical



Equity build (Op EV − net debt)



Sources: SEC XBRL company facts (CIK 1810806), Unity Q1 FY2026 release (revenue $508M +17%; Grow/ads $352M +24% with Vector +80%; GAAP net loss -$347M incl a $279M ironSource Ads impairment; adj EBITDA ~27%; FCF +$66M; ~$2.2B convertibles). Revenue is a growth path off FY25; FCF = revenue x FCF margin (ex-SBC, with a growing share count); Gordon terminal. Multiples vs AppLovin, Epic (Unreal), Godot.

Unity Software 7 Powers · the moat, scored

Bear $5.44 Base $10.78 Bull $22.13

Arena. Game-engine + mobile-ad monetization — Unity (the dominant cross-platform engine + the Grow/Vector ad network) vs Epic's Unreal and open-source Godot in engines, and AppLovin in mobile ads; auditing a contested branding + cornered-resource Power against an active developer exodus and dilution.

POWER AUDIT
dominant-power durability: low

POWER AUDIT · 7 POWERS

Scale Economies	2/3	Ad-network and engine scale at ~$1.85B revenue give data/cost leverage, but Unity is loss-making and sub-scale vs AppLovin in ads.
Network Economies	2/3	Developers + ad demand share the same install base (more games → more ad inventory → better targeting), but the loop is weaker than a pure marketplace and contested.
Counter-Positioning	1/3	Was the accessible cross-platform engine vs costly bespoke tooling; now the incumbent, with Godot the low-cost counter-position after the runtime fee.
Switching Costs	2/3	Real once a game is built in Unity, but weak at the franchise edge - the runtime fee proved developers will start new projects on Godot/Unreal.
Branding	3/3	The dominant Power: Unity is the default name in mobile/indie game development with a huge install base - but the brand was damaged by the runtime fee and is eroding.
Cornered Resource · thesis leans here	3/3	The ad-data + engine install base feeding Vector is the genuine asset - nascent and being actively contested, the swing of the whole audit.
Process Power	1/3	AI/ML ad-optimization (Vector) is improving fast but unproven and chased by AppLovin; not yet a durable process advantage.

PEER SET

AppLovin (APP) 30% gr · 55% mgn · ~30x EV/FCF
The mobile-ad-monetization benchmark Vector is chasing; far more profitable, the Grow/Vector comp.

Epic Games (Unreal) · private
Owns Unreal + Fortnite; the high-end engine taking AAA/console share, the Create threat.

Godot · open-source
Free, open-source engine that gained indie share post-runtime-fee; the low-cost counter-position.

Roblox (RBLX) 25% gr · ~loss-making
Adjacent UGC platform competing for creators/developers and ad dollars.

THREAT VECTORS · FALSIFIERS

Cornered Resource · AppLovin (ad share) + comp lapse
`falsifier:` Vector growth decelerates sharply as easy comps roll off and ad share stops expanding beyond mobile gaming.

Branding · Godot + Unreal (engine share)
`falsifier:` Create seats/engine share keep leaking as developers start new projects off Unity post-runtime-fee.

Switching Costs · Developer exodus / dilution
`falsifier:` GAAP stays loss-making and the share count keeps climbing >5%/yr, so per-share value leaks even as revenue grows.

> **COMPETITIVE READ**
> Unity's most genuine Power is a cornered resource - the ad-data plus engine install base feeding Vector - but it is nascent and being actively contested, and the branding leg (the default game engine) was damaged by the runtime fee and is eroding to Godot and Unreal. The Audit: the dominant Power is the contested ad-data/install-base resource (durability low), the live threats are engine-share erosion plus a developer exodus and ~56%-in-five-years SBC dilution, and ~$2.2B convertibles mature into ~$2.15B cash in Nov-2026. That squares with the DCF: even with Vector working and GAAP turning, the base lands -60% because the model carries a thinner ex-SBC margin and a growing share count - this is the most speculative name in the batch, a turnaround bet on Vector with a very wide -93% to +47% distribution, not an FCF compounder.

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2 July 2026 · the quantitative

Unity Software show your work

Bear $5.44 Base $10.78 Bull $22.13 · Weighted $11.86 (-60.7%)

ULTRA BEAR $2.02

ASSUMPTIONS

5y revenue CAGR (%)	+1.3
Year-5 op margin (%)	4.0
WACC (%)	12.5
Terminal growth (%)	2.5
5y revenue CAGR (%)	+1.3
Starting revenue ($B)	1.85
Scenario probability (%)	18

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	1.76	-10%	+0.04	+0.03
FY27	1.76	-5%	+0.07	+0.06
FY28	1.81	+0%	+0.11	+0.08
FY29	1.88	+2%	+0.13	+0.08
FY30	1.98	+4%	+0.16	+0.09

Σ PV explicit FCF	+0.33
+ PV terminal (g 2.5%)	0.90

EQUITY BUILD · $B & PER SHARE

Operating EV	$1.23B
+ Cash & investments	$2.06B
– Net debt	$2.24B
= Equity value	$1.05B
FY30 shares (M)	520
= Expected per share	$2.02

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$3.64	$6.56	$11.82	$21.30
0.12×	0.22×	0.39×	0.71×

BEAR $5.44

ASSUMPTIONS

5y revenue CAGR (%)	+6.6
Year-5 op margin (%)	11.0
WACC (%)	11.5
Terminal growth (%)	3.0
5y revenue CAGR (%)	+6.6
Starting revenue ($B)	1.85
Scenario probability (%)	28

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	1.96	-2%	+0.12	+0.11
FY27	2.10	+3%	+0.17	+0.14
FY28	2.25	+7%	+0.23	+0.16
FY29	2.40	+9%	+0.26	+0.17
FY30	2.55	+11%	+0.31	+0.18

Σ PV explicit FCF	+0.75
+ PV terminal (g 3.0%)	2.15

EQUITY BUILD · $B & PER SHARE

Operating EV	$2.90B
+ Cash & investments	$2.06B
– Net debt	$2.24B
= Equity value	$2.72B
FY30 shares (M)	500
= Expected per share	$5.44

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$9.38	$16.16	$27.84	$47.98
0.31×	0.54×	0.92×	1.59×

BASE $10.78

ASSUMPTIONS

5y revenue CAGR (%)	+11.6
Year-5 op margin (%)	15.0
WACC (%)	11.0
Terminal growth (%)	3.5
5y revenue CAGR (%)	+11.6
Starting revenue ($B)	1.85
Scenario probability (%)	30

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	2.13	+0%	+0.17	+0.15
FY27	2.40	+5%	+0.26	+0.21
FY28	2.67	+10%	+0.35	+0.25
FY29	2.94	+13%	+0.44	+0.29
FY30	3.20	+15%	+0.51	+0.30

Σ PV explicit FCF	+1.22
+ PV terminal (g 3.5%)	4.19

EQUITY BUILD · $B & PER SHARE

Operating EV	$5.41B
+ Cash & investments	$2.06B
– Net debt	$2.24B
= Equity value	$5.23B
FY30 shares (M)	485
= Expected per share	$10.78

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$18.16	$30.61	$51.58	$86.91
0.60×	1.01×	1.71×	2.88×

BULL $22.13

ASSUMPTIONS

5y revenue CAGR (%)	+16.9
Year-5 op margin (%)	21.0
WACC (%)	10.5
Terminal growth (%)	4.0
5y revenue CAGR (%)	+16.9
Starting revenue ($B)	1.85
Scenario probability (%)	16

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	2.26	+3%	+0.23	+0.20
FY27	2.71	+9%	+0.38	+0.31
FY28	3.17	+14%	+0.54	+0.40
FY29	3.61	+18%	+0.72	+0.48
FY30	4.05	+21%	+0.89	+0.54

Σ PV explicit FCF	+1.94
+ PV terminal (g 4.0%)	8.64

EQUITY BUILD · $B & PER SHARE

Operating EV	$10.58B
+ Cash & investments	$2.06B
– Net debt	$2.24B
= Equity value	$10.40B
FY30 shares (M)	470
= Expected per share	$22.13

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$36.46	$60.06	$98.95	$163.01
1.21×	1.99×	3.28×	5.40×

ULTRA BULL $39.96

ASSUMPTIONS

5y revenue CAGR (%)	+22.9
Year-5 op margin (%)	26.0
WACC (%)	10.0
Terminal growth (%)	4.0
5y revenue CAGR (%)	+22.9
Starting revenue ($B)	1.85
Scenario probability (%)	8

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	2.41	+5%	+0.29	+0.26
FY27	3.05	+12%	+0.49	+0.40
FY28	3.76	+18%	+0.79	+0.59
FY29	4.47	+23%	+1.12	+0.76
FY30	5.19	+26%	+1.45	+0.90

Σ PV explicit FCF	+2.93
+ PV terminal (g 4.0%)	15.63

EQUITY BUILD · $B & PER SHARE

Operating EV	$18.56B
+ Cash & investments	$2.06B
– Net debt	$2.24B
= Equity value	$18.38B
FY30 shares (M)	460
= Expected per share	$39.96

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$64.36	$103.65	$166.92	$268.83
2.13×	3.43×	5.53×	8.90×

Unity Software People · Opportunity · Context · Deal

Bear $5.44 Base $10.78 Bull $22.13

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Matthew Bromberg 2 yrs in seat

20.14% insider ownership

MEDIUM key-person risk

Capital allocation (realized)
Matthew Bromberg (ex-Zynga COO) became CEO in May 2024, brought in to fix the business after founder-era CEO John Riccitiello was ousted in October 2023 over the "Runtime Fee" pricing debacle. The turnaround is showing: Q1 2026 revenue +17%, ~27% adjusted-EBITDA margin, positive free cash flow — though GAAP is still a loss (an ironSource-related impairment). Capital allocation is deleveraging: ~$2.1B cash against ~$2.2B convertibles, with maturities pushed to 2030 via repurchases; a $250M buyback ran in 2024; no dividend.

Incentive alignment
Bromberg's package is turnaround-style — $850K base, an $2M sign-on, and large option grants vesting on $35/$50/$60/$75 stock-price hurdles through 2030, tying most upside to a recovery. Insider trading is sell-to-cover on vesting, no open-market buying. The largest holders are strategic (Sequoia's Botha ~9%, Silver Lake ~9%), whose 2022 convertible financing drew a Delaware disclosure suit.

GOVERNANCE FLAGS

- single class of common stock, one vote per share — no super-voting; no controlling shareholder (largest holder ~9%)
- management-instability history: founder-era CEO ousted in 2023 over the Runtime-Fee debacle, an interim CEO, then the current turnaround CEO (2024)
- Chair and CEO are separated, but the Chair (Whitehurst) is an Executive (non-independent) Chair — independent oversight runs through the lead independent director (Botha)
- classified / staggered board (three classes) — an entrenchment feature
- strategic-investor board seats (Silver Lake, Sequoia) tied to a 2022 convertible deal that drew Delaware litigation; heavy stock-based comp and ~4-6%/yr dilution

THE FOUR LEGS

People ●●●○○
observable composite · 1–5

Opportunity
The scenario distribution · the Page-3 business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market purchase = the deal: entry price vs. the scenario distribution (the -56.5% finding) + position sizing.

> **PEOPLE READ**
> A single-share-one-vote company with no controlling holder — public shareholders keep full voting power, which keeps it clear of the entrenched tier. But it is not a clean 4: a non-independent Executive Chair, a classified board, recent management instability (the 2023 Runtime-Fee CEO ouster), strategic-investor board seats from a litigated convertible deal, and heavy stock-comp dilution. The board did hold the prior CEO accountable, a positive signal. Key-person risk is moderate — the turnaround is closely identified with Bromberg.

Unity Software supporting analysis · disclaimers · glossary

Bear $5.44 Base $10.78 Bull $22.13

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **FCF is positive — why a -60% modal case?**
~$0.4B FCF (~22%) flatters a GAAP-loss business; the base models the ex-SBC margin AND a growing share count, so per-share cash is far thinner.

2 **Vector is genuinely re-accelerating ads.**
Grow +24% with Vector +80% toward ~$1B ARR is the bull; the question is whether it sustains past easy comps and beyond gaming, vs AppLovin.

3 **The convertibles are a 2026 cliff.**
~$2.2B notes mature Nov-2026 against ~$2.15B cash — manageable, but it removes the buffer if the turnaround slips.

4 **Dilution is the core bear mechanism.**
Shares are up ~56% in five years on SBC; per-share value leaks unless stock comp moderates - modeled as a rising share count throughout.

5 **Engine share is being contested.**
Godot + Unreal gained share post-runtime-fee (since cancelled); the Create franchise and ad-data install base are the contested cornered resource.

FALSIFICATION TRIGGERS

Bull validation

Vector ARR tracks toward ~$1B and Grow stays >20% · ad share holds/expands beyond mobile gaming · GAAP operating margin turns positive · SBC/share count flattens

Bear validation

Vector growth decelerates sharply as comps lapse · Create seats/engine share keep leaking to Godot/Unreal · GAAP stays loss-making · share count keeps climbing >5%/yr

Reframe needed

if the convertibles refinance on bad terms or Vector reverts to a low-growth engine losing developers, re-rate the terminal toward a dilutive, loss-making software multiple net of debt

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Do your own research.

Do not make investment decisions on the basis of this document. Consult a licensed financial professional and read the company's official SEC filings (10-K, 10-Q, 8-K, proxy) before forming any investment view. If you wouldn't trust your retirement to a chatbot, don't trust this either.

GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Vector — Unity's AI-driven ad engine inside Grow - the turnaround driver, +80% YoY toward ~$1B ARR; whether it sustains ad-share gains beyond mobile gaming is the swing factor.

Grow vs Create — Grow = the ads/monetization business (~69% of revenue, incl Vector); Create = the engine subscriptions (Unity Pro/Enterprise) - the two segments.

Runtime fee — The 2023 per-install engine pricing (since cancelled) that triggered a developer backlash and gave Godot/Unreal an opening - the Create-franchise bear catalyst.

Convertible notes — ~$2.2B of convertible debt (2026 Notes due Nov-2026) sitting against ~$2.15B cash; the maturity that shapes the equity bridge net of debt.

FCF margin (ex-SBC) — Free cash flow / revenue net of stock-based comp, against a growing share count; the mature-DCF lever - here dilution, not GAAP FCF, drives the per-share result.